

Traditional IRA. A traditional IRA is an individual retirement account that allows you to make contributions with your pre-tax income up to a specified amount each year. Come retirement, you will have to pay taxes on any withdrawals you make on the account, just like with a 401(k). An IRA can be set up independently or offered by your employer.

Benefits and Drawbacks of the Traditional IRA

Benefits

- Contributions grow tax-deferred, which means you won't have to pay taxes until you start making withdrawals when you retire. These contributions also lower your annual taxable income during your working years.
- You can open an IRA regardless of your employment situation, as long as you've earned taxable income that equals or exceeds your contribution amount for the year.
- This account type allows for catch-up contributions if you are above the age of 50.

Drawbacks

- IRA contribution limits are much lower than the 401(k), 403(b), and 457(b) plans.
- You'll have to pay taxes on your money when you retire.
- There are stiff penalties for early withdrawals under the age of 59½.

Roth IRA. A Roth IRA is an individual retirement account that allows you to make contributions with your after-tax income up to a specified amount each year. Come retirement, your withdrawals will be tax-free, including all profits you've earned. A Roth IRA can be set up independently or offered by your employer.

Benefits and Drawbacks of the Roth IRA

Benefits